

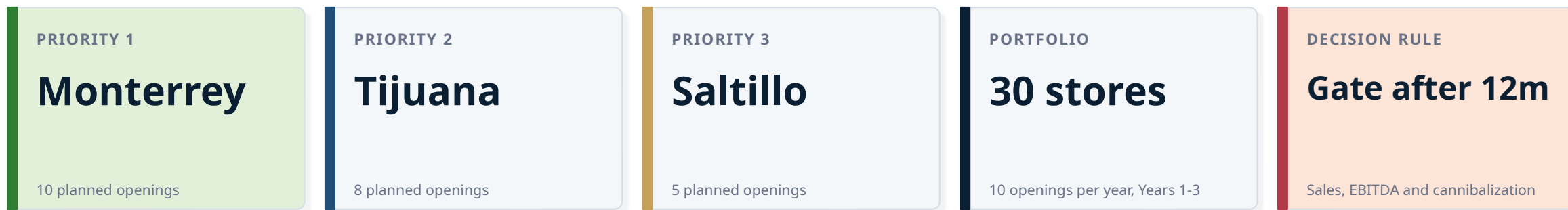
Starbucks Northern Mexico Market-Entry Strategy

A staged 30-store expansion case across Monterrey, Tijuana, Saltillo, Chihuahua and Hermosillo.

Strategy | Market entry | Unit economics | Excel + Python

Proceed with a staged pilot - not an unconditional rollout

The city ranking identifies where to test; stage gates decide whether to continue.



Recommendation: anchor clusters in Monterrey and Tijuana, use Saltillo as an adjacency, and defer later-city scaling until pilot economics validate demand.

- Base model: MXN 19.6m mature revenue and MXN 2.6m annual cash contribution per store.
- Five-year NPV is negative before continuing value because capex is front-loaded and store lives are long.
- Long-run value can be positive, but it is highly sensitive to ticket, traffic, margins, store life and discount rate.

Mexico is already a scaled Starbucks market

The case asks where incremental northern expansion could create value.

STARBUCKS MEXICO MILESTONE

900 stores

Reached in March 2025

PUBLIC AMBITION

1,000 stores

Mexico described as largest LAC market

ALSEA MEXICO SALES

MXN 46.4bn

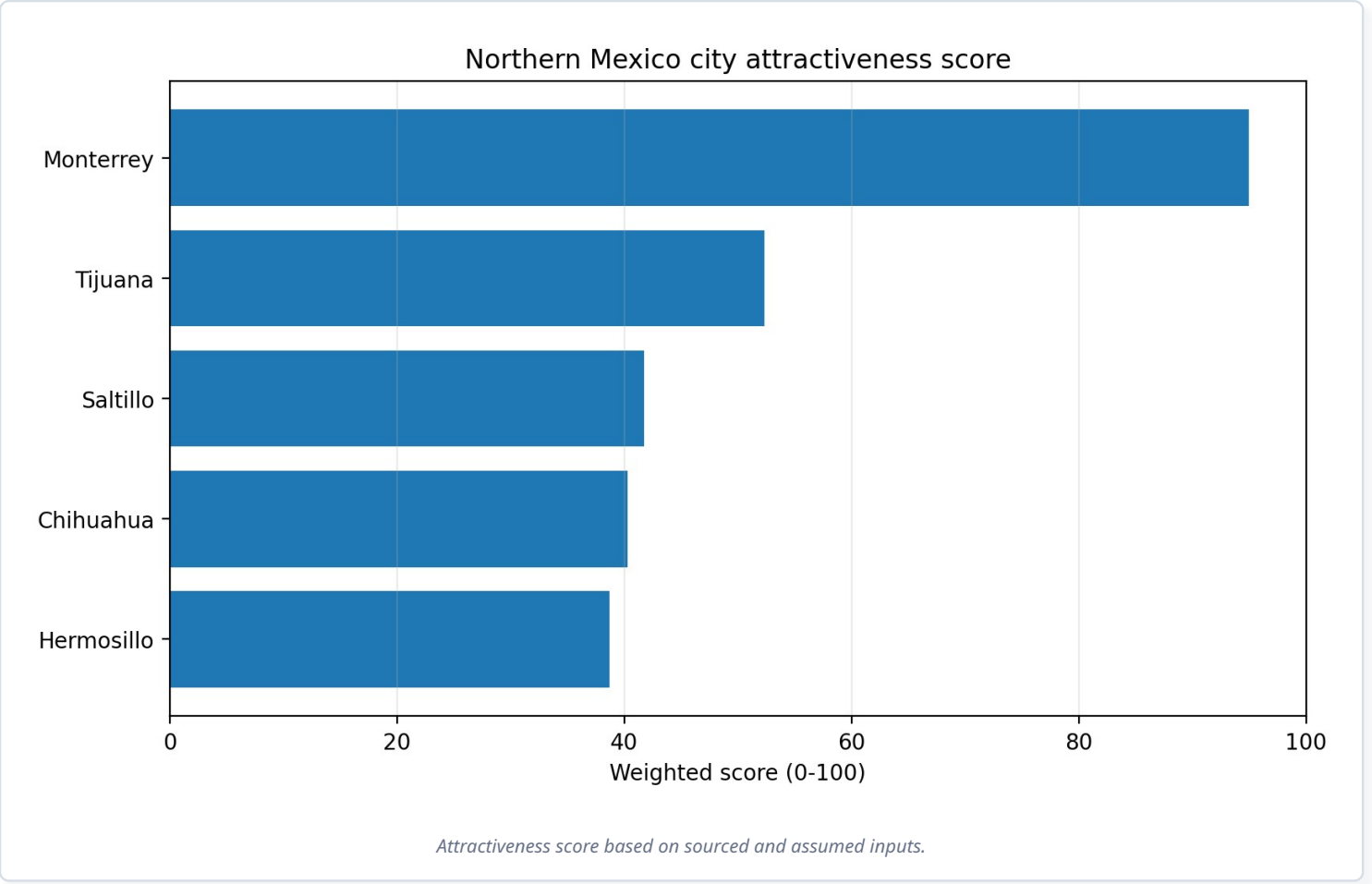
FY2025; all Alsea Mexico brands

Target metro	Population 2020	State GDP share 2024
Monterrey	5.34m	8.1%
Tijuana	2.16m	3.9%
Saltillo	1.03m	3.7%
Chihuahua	0.99m	3.8%
Hermosillo	0.94m	3.3%

Sourced facts do not answer the case alone. Income, saturation, site quality and unit economics remain modeled assumptions.

Monterrey is the anchor; Tijuana provides the second cluster

Population and GDP drive the gap; modeled headroom supports the secondary cities.



Factor	Weight
Population	35%
State GDP share	20%
Premium-income index	20%
Saturation headroom	15%
Strategic fit	10%

The last three factors are explicit assumptions. Store-level site economics can override city averages.

Thirty openings over three years, with gates before the second wave

Cluster density lowers operating complexity and creates cleaner learning loops.

City	Year 1	Year 2	Year 3	Total
Monterrey	4	3	3	10
Tijuana	3	3	2	8
Saltillo	1	2	2	5
Chihuahua	1	1	2	4
Hermosillo	1	1	1	3
Total	10	10	10	30

STAGE GATE 1

Sales $\geq$ 90%

of modeled 12-month ramp

STAGE GATE 2

EBITDA $\geq$ 18%

store-level margin after 12 months

STAGE GATE 3

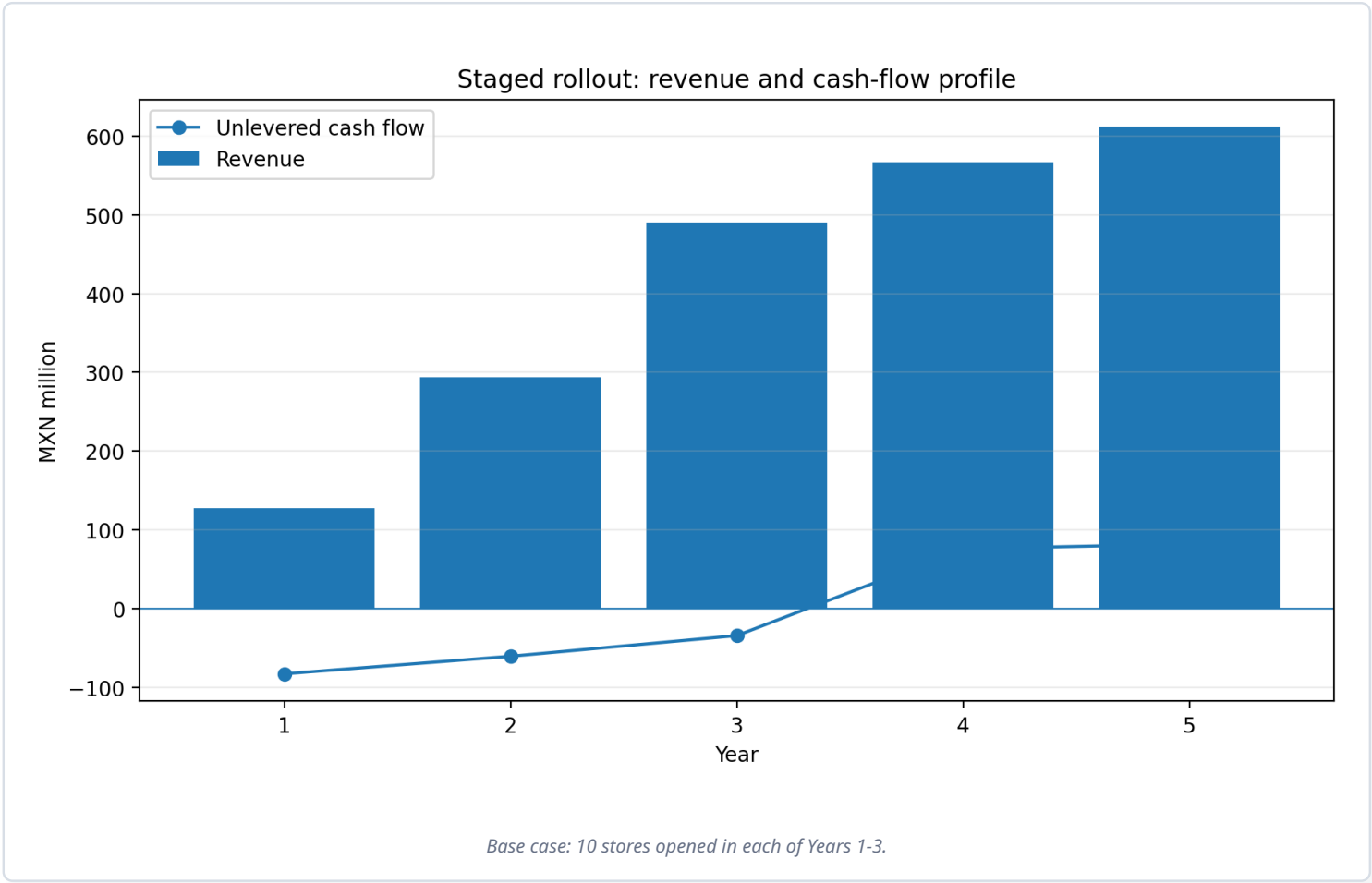
Cannibalization $\leq$ 8%

within each operating cluster

Miss a gate: pause, redesign or stop.

Front-loaded capex creates a long payback profile

The five-year view is negative before terminal value and positive only under continuing-value assumptions.



MATURE REVENUE/STORE

MXN 19.6m

135 ticket x 420 daily transactions

MATURE CASH CONTRIBUTION

MXN 2.6m

After tax proxy and maintenance capex

5-YEAR NPV

MXN -52.1m

Excludes continuing value

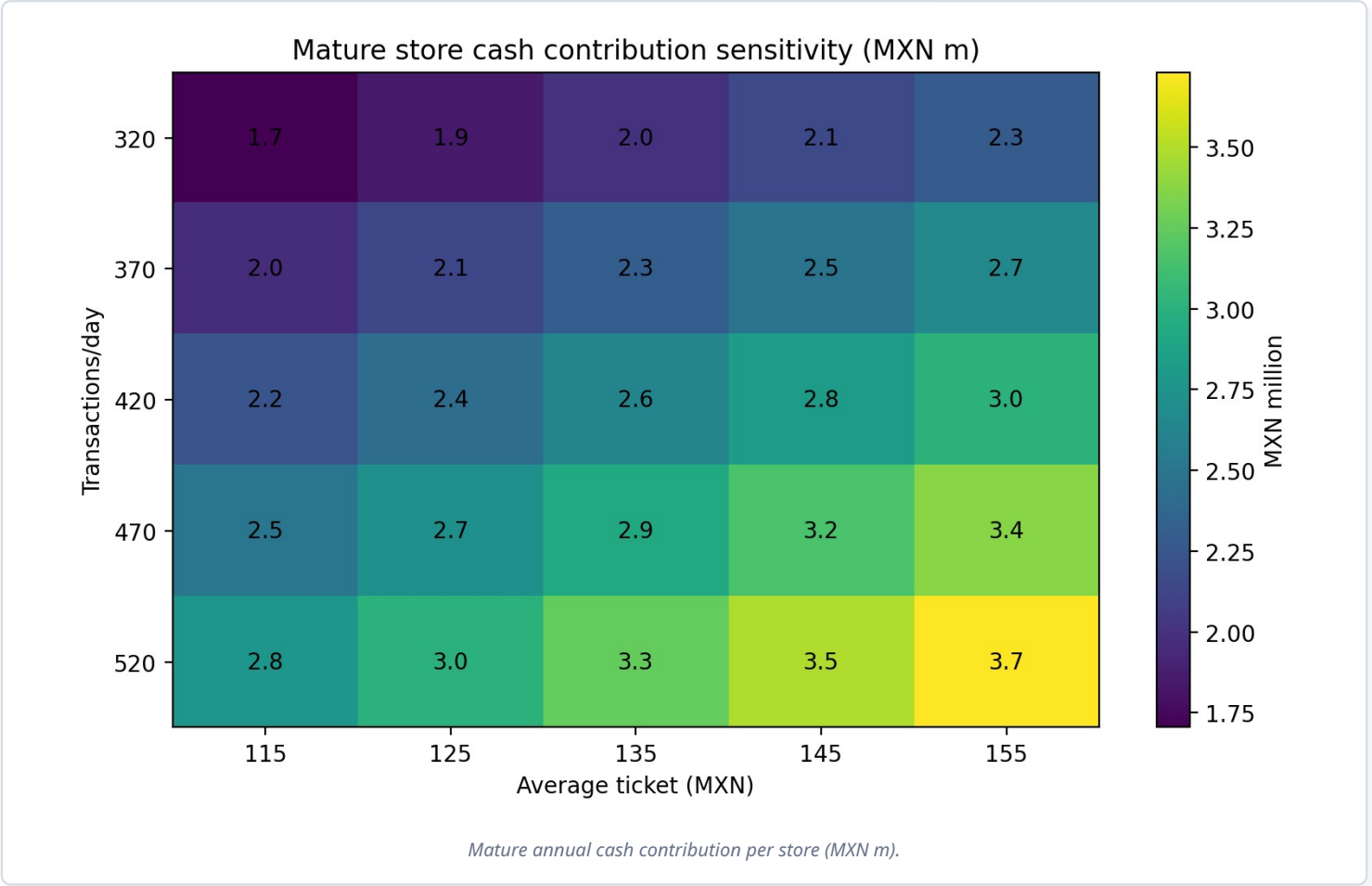
NPV INCL. TERMINAL

MXN 480.2m

Highly assumption-sensitive

Ticket and traffic determine whether the rollout clears the hurdle

The solution is not false precision - it is staged capital allocation.



- Traffic and average ticket interact multiplicatively.
- Rent, labor and delivery mix are not yet modeled explicitly.
- A city score cannot rescue a weak individual site.
- The pilot creates real data to replace assumption-heavy indices.
- The decision rule should be set before results arrive.

A consulting recommendation is incomplete without execution controls

The model prioritizes learning speed and downside containment.

Risk	Mitigation
Site-level saturation	Map current stores and trade areas before signing leases
Cannibalization	Cluster holdouts and an 8% expansion gate
Rent / wage inflation	Site hurdle rates and variable-rent negotiation
Traffic below plan	Smaller pilots, drive-through, delivery and digital acquisition
Execution complexity	Sequence clusters and build local management density
Input-cost volatility	Menu architecture and procurement scenarios

Expand only when evidence replaces assumptions.

PILOT OUTCOME A

Beat gates

Accelerate best clusters

PILOT OUTCOME B

Miss gates

Pause, redesign or exit

A strategy case that integrates market sizing and finance

The differentiator is the separation of sourced facts, assumptions and decision rules.

"I built a northern Mexico expansion case for Starbucks. The city score prioritized Monterrey and Tijuana, but I did not treat the ranking as the decision. I modeled store economics, found a long payback profile, and recommended a staged pilot with pre-agreed sales, margin and cannibalization gates."

STRATEGY SIGNAL

Market prioritization

Structured, weighted decision framework

FINANCE SIGNAL

Unit economics

Capex, ramp, cash flow and NPV

JUDGMENT SIGNAL

Stage gates

Do not force a "yes" answer

- CV-ready themes: market entry, city prioritization, financial modeling, scenario analysis, risk mitigation and executive storytelling.
- Before using the project publicly, verify all assumptions, map existing stores and be prepared to explain why terminal value dominates the base NPV.